Kelverstone Mutual Indemnity Association: indemnity standard

Version 6, approved by the trustees on 19 May 2026 and effective for indemnity years beginning on or after 1 October 2026. Parts 1 to 3, Part 6 and schedules 1 to 4 are not reproduced in this extract.

Part 2 Cover

2.1 The mutual indemnifies a member for reimbursements the member makes to its own customers under the scheme's reimbursement rules where the customer was deceived into sending a payment, which this standard calls a scam case, and separately for losses the member bears on payments its customer did not authorise, which this standard calls unauthorised fraud. The two covers are rated separately and are not combined in any figure this Part requires.

2.2 Cover attaches to the member that sent the payment. Where a member receives a payment another firm's customer sent, the case belongs to the sending firm and the mutual indemnifies no part of it.

Part 4 The scam incidence index

4.1 The trustees set a scam incidence index for each member whose triennial experience review falls in the cycle. The index is the measure on which the mutual places its loss-control programme and sets the member's contribution loading, and it is recorded in the minute of the meeting at which it is set.

4.2 A member's scam incidence index is the number of scam cases arising from payments its own customers sent in the scheme year ended 31 March, whether or not the member's own systems recorded them, counted once a case however many payments it covers, per million payments sent as reported on the member's revised quarterly returns for that year. The index is estimated on the mutual's evidence base as it stands when the review is prepared, being the members' case registers and the scheme's beneficiary account register.

4.3 An index set at the trustees' summer meeting applies to the indemnity year beginning on the following 1 October and is measured over the scheme year ended the preceding 31 March. An index is not re-measured during an indemnity year.

4.4 The experience review presents the index as a walk from the member's recorded case count, through the cases its own record did not hold, to its indexed case count, in that order, and states the index to the nearest whole case per million payments sent.

4.5 A member's review is prepared by the underwriting and pricing lead and is put to the trustees with the membership position at the close of the scheme year.

Part 5 Settlement and recoveries

5.1 The mutual settles with each member monthly by advice, one advice per cover per month, and the advice states the amount settled and the number of case lines it covers.

5.2 Recoveries belong to the mutual to the extent of the indemnity it has paid and are credited against the case they arise on, at the date the funds arrive.

Issued by Debra Dawson, secretary, Kelverstone Mutual Indemnity Association. Version 6 supersedes version 5 of 12 June 2023. Next scheduled review May 2028.